WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

EGYPT

Africa

Information current as of November 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Greater Cairo and the New Administrative Capital	Political and commercial capital and largest consumer market; seat of government, regulators and most corporate headquarters	Financial services, ICT, real estate, consumer goods
Suez Canal Economic Zone (SCZone)	Industrial and logistics hub on the canal with six ports and 117 new projects worth $7.26 billion contracted in FY2025/26	Manufacturing, green energy, logistics, maritime services
Ain Sokhna and East Port Said	Flagship SCZone ports and industrial areas at either end of the canal; East Port Said handles nearly 70% of Egypt's transit trade	Container logistics, chemicals, metals, electric vehicles
Suez Canal corridor	Strategic Europe–Asia shipping route whose revenue rose 23% to $4.67 billion in FY2025/26 as traffic recovered	Maritime services, ship supply, port-linked industry
Alexandria and the Mediterranean coast	Second city and main Mediterranean port, close to offshore gas infrastructure and European markets	Port logistics, petrochemicals, food processing, textiles
North Coast (Ras El Hekma)	Site of the $35 billion UAE-backed Ras El Hekma development, the largest foreign investment in Egypt's history	Tourism, real estate, hospitality, infrastructure
Red Sea and South Sinai resorts	Core of a tourism sector that earned a record $24 billion in 2025	Hospitality, leisure real estate, aviation services

INVESTOR ENTRY ROUTES

- General Authority for Investment and Free Zones (GAFI), reporting to the Prime Minister, offers one-stop company set-up and licensing through its Investors Services Center and branches nationwide
- Investment Law No. 72 of 2017, guaranteeing protection against nationalisation and expropriation, allowing 100% foreign ownership of most projects and the right to remit income and repatriate capital
- Golden License: a single Cabinet-approved permit covering set-up, operation, land allocation and building licences for strategic, national and public-private partnership projects
- Suez Canal Economic Zone (SCZone) offering 100% foreign ownership, customs and sales-tax exemptions on imports, fast-track visas and a one-stop shop; plus nine public free zones and 13 investment zones
- Central Bank of Egypt oversight of a flexible, market-determined exchange rate since March 2024, which has restored foreign-currency availability for profit repatriation

- Sovereign Fund of Egypt and the State Ownership Policy, opening co-investment and divestment opportunities in state-owned assets
- Cabinet-approved Economic Entities Platform, a single digital window covering 468 economic activities, with a new national FDI strategy targeting 12 priority sectors

MARKET-ENTRY OBSERVATION

Egypt in October 2026 is delivering its strongest growth in several years on the back of a sustained reform programme. GDP expanded 5.1% in FY2025/26, up from 4.4% the year before, led by non-petroleum manufacturing (+9%), telecommunications and a 23.3% rebound in Suez Canal activity, and the government targets 5.2–5.4% for the current fiscal year. Egypt was Africa's top FDI destination for the fourth consecutive year in 2025, attracting around $15 billion; excluding the one-off Ras El Hekma deal, inflows rose about 25%. Net international reserves reached a record $57.5 billion in October 2026, urban inflation eased to 13.9%, while the central bank raised its policy rate to 20% on 29 October as a pre-emptive step to sustain disinflation. The IMF-supported programme, extended to end-2026, has anchored a flexible exchange rate and a primary surplus of 4.8% of GDP, while the State Ownership Policy is opening state assets to private investors.

Egypt's main structural challenge is its external financing need, which leaves the economy exposed to regional shocks. The Iran war from February 2026 triggered portfolio outflows of around $10 billion and briefly interrupted gas imports, yet the economy absorbed the shock: the pound adjusted under a market-driven regime, Israeli gas deliveries resumed in April, and reserves have risen for 49 consecutive months. External debt stood at $164.8 billion at end-March 2026 but fell to 38.9% of GDP from 44.2%, while debt-service payments eased. Strong diversified foreign-currency earnings provide the buffer, with remittances up 28.1% to $29.7 billion in January–July 2026 and Suez Canal revenue projected to approach $10 billion by FY2027/28. For investors, the opportunity lies in export-oriented manufacturing, logistics and energy projects that earn hard currency and benefit directly from Egypt's competitive cost base.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
External financing needs and public debt	Debt service absorbs a large share of the budget and external debt was $164.8 billion at end-March 2026, though it fell to 38.9% of GDP	A primary surplus, IMF anchoring and record reserves support stability; favour projects with hard-currency revenue
Regional geopolitical spillover	The 2026 Iran war and earlier Red Sea disruption temporarily reduced canal traffic and triggered portfolio outflows	Canal revenue has recovered strongly; build short-disruption scenarios into logistics and supply-chain planning
Currency movements	The pound floats freely and depreciated during the 2026 regional shock, trading around EGP 56 per dollar in late October 2026	Repatriation is now reliable under the flexible regime; apply standard hedging and match revenue and cost currencies
Inflation and borrowing costs	Urban inflation of 13.9% and a 20% policy rate, raised by one point in October 2026, keep local financing costs high	The rise aims to keep inflation falling towards the 7% target for late 2027; use DFI and offshore financing and position for easing as inflation falls
State and military role in the economy	State-linked entities hold large market positions and the IMF has called for faster divestment	The State Ownership Policy and Sovereign Fund of Egypt create co-investment and acquisition opportunities
Bureaucracy and regulatory consistency	Investors report red tape, slow customs procedures and uneven enforcement	Use GAFI's one-stop services, the Golden License for strategic projects and SCZone's dedicated regime
Energy supply balance	Egypt imports part of its gas needs, including 15–20% from Israel, interrupted between February and April 2026	Supply was restored and LNG imports stepped up; the gap drives strong demand for renewables and upstream investment

INVESTOR RISK NOTE

Egypt's risk profile reflects a large, reforming economy that has demonstrated its ability to absorb successive external shocks. The 2024 shift to a flexible exchange rate, the IMF-supported programme and the Ras El Hekma inflow resolved the foreign-currency shortages of 2022–2024, and record reserves of $57.5 billion, a banking-sector net foreign asset position of $31.2 billion and 49 consecutive months of reserve growth provide a meaningful cushion. The 2026 Iran war tested these buffers through capital outflows, a temporary gas-supply interruption and pressure on canal traffic, yet growth reached 5.1% in FY2025/26 and inflation continued to ease. Public debt and gross financing needs remain the key variable to monitor, alongside the pace of state-asset divestment as the current IMF arrangement concludes in December 2026. Investors earning hard currency, or structuring with development-finance partners, are best placed to capture Egypt's growth while managing currency and regional exposure.

MARKET ACCESS

Egypt has been a WTO member since 1995 and offers preferential access to markets across three continents. Its Association Agreement with the EU, in force since 2004, provides tariff-free trade in industrial goods with Egypt's largest trading partner, which accounted for 24.6% of its total trade (€32.3 billion) in 2025. Egypt is a member of COMESA, the Greater Arab Free Trade Area and the Agadir Agreement, ratified the African Continental Free Trade Area in 2019, and has free trade agreements with Mercosur and Turkey, while Qualifying Industrial Zones give duty-free access to the US market. The Suez Canal and SCZone ports position Egypt as a manufacturing and transshipment platform between Europe, the Gulf, Asia and Africa, with exports rising to $31.9 billion in January–July 2026.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Abdel Fattah El-Sisi) and the Cabinet	Set national economic strategy, megaproject priorities and approve Golden Licenses	Primary reference point for strategic and national-scale projects
General Authority for Investment and Free Zones (GAFI)	Main body regulating and facilitating foreign investment, reporting to the Prime Minister	Standard first point of contact for company set-up, incentives and zone licensing
Central Bank of Egypt	Monetary authority managing the flexible exchange rate, reserves and banking regulation	Relevant for currency, repatriation and banking-sector matters
Ministry of Investment and Foreign Trade	Leads the national FDI strategy, investment-climate reforms and trade policy	Key counterpart for policy dialogue and sector incentive packages
Suez Canal Economic Zone (SCZone) Authority	Independent regulator and developer of Egypt's leading industrial and port zone	Essential partner for manufacturing, logistics and green-energy projects
Sovereign Fund of Egypt	State investment fund partnering with private investors on state-owned assets	Gateway to co-investment and divestment opportunities under the State Ownership Policy
Suez Canal Authority	Operates the canal, sets transit fees and develops canal-linked services	Relevant for maritime services, shipping and logistics investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Egypt, the Federation of Egyptian Industries and the Federation of Egyptian Chambers of Commerce are the main business associations, alongside bilateral chambers including the Egyptian British Chamber of Commerce. GAFI and the Ministry of Investment and Foreign Trade run regular investor events, and sector gatherings such as the Egypt Energy Show (EGYPES) attract international participants. The EBRD, World Bank Group and African Development Bank maintain active programmes in Egypt supporting private-sector development, energy transition and infrastructure, and the IMF's Resilience and Sustainability Facility has advanced renewable-energy and climate-finance reforms. Gulf sovereign and commercial investors, highly active since Ras El Hekma, are useful co-investment partners.

INVESTOR PROFILE BEST SUITED

Egypt suits investors seeking scale, a competitive cost base and a regional export platform: manufacturers and logistics operators using SCZone and free-zone incentives to serve Europe, Africa and the Gulf; renewable-energy developers responding to strong power demand and an energy-transition agenda; tourism and real-estate investors building on record visitor revenues and North Coast development; and ICT, fintech and pharmaceutical investors targeting a large domestic market. Private-equity and strategic investors can access state-asset divestments through the Sovereign Fund of Egypt. Projects with hard-currency revenue or DFI co-financing are best positioned to manage currency exposure.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage GAFI and confirm the right entry regime
Compare the general investment regime, free zones, investment zones and SCZone to identify the incentive package best suited to the project.

STEP 2: Assess eligibility for a Golden License
For strategic, export-oriented or public-private partnership projects, use GAFI's Golden License Unit to secure a single Cabinet approval covering land, permits and incentives.

STEP 3: Explore SCZone for export-oriented manufacturing and logistics
Engage the SCZone Authority on available land, port access and customs exemptions at Ain Sokhna and East Port Said.

STEP 4: Structure currency and financing exposure
Prioritise hard-currency revenue, apply standard hedging and consider EBRD, IFC or African Development Bank co-financing to reduce local borrowing costs.

STEP 5: Track the State Ownership Policy and post-IMF reform path
Monitor divestment offerings through the Sovereign Fund of Egypt and policy direction as the IMF arrangement concludes in December 2026.